displacement of the indigenous handicrafts; it had little effect on the problems of poverty and overcrowding of land. The paltriness of Indian industrialisation is brought out by the fact that out of a population of 357 million in 1951 only about 2.3 million were employed in modern industrial enterprises. Furthermore, the decay and decline of the urban and rural handicraft industries continued unabated after 1858. The Indian Planning Commission has calculated that the number of persons engaged in processing and manufacturing fell from 10.3 million in 1901 to 8.8 million in 1951 even though the population increased by nearly 40 per cent. The government made no effort to protect, rehabilitate, reorganise and modernise these old indigenous industries.

Moreover, even the modern industries had to develop without government help and often in opposition to British policy. British manufacturers looked upon Indian textile and other industries as their rivals and put pressure on the Government of India not to encourage but rather to actively discourage industrial development in India. Thus British policy artificially restricted and slowed down the growth of Indian industries.

Furthermore, Indian industries, still in a period of infancy, needed protection. They developed at a time when Britain, France, Germany and the United States had already established powerful industries and could not therefore compete with them. In fact, all other countries, including Britain, had protected their infant industries by imposing heavy customs duties on the import of foreign manufacturers. But India was not a free country. Its policies were determined in Britain and in the interests of British industrialists who forced a policy of Free Trade upon their colony. For the same reason the Government of India refused to give any financial or other help to the newly founded Indian industries as was being done at the time by the governments of Europe and Japan for their own infant industries. It would not even make adequate arrangements for technical education which remained extremely backward until 1951 and further contributed to industrial backwardness. In 1939 there were only 7 engineering colleges with 2217 students in the country. Many Indian projects, for example, those concerning the construction of ships, locomotives, cars and aeroplanes,